CfC Insurance Holdings Limited

The Board of Directors of CfC Insurance Holdings Limited is pleased to announce the results of the Group for the year ended 31 December 2011

Consolidated statement of financial position

	31 December 2011 Shs'000	31 December 2010 (Restated) Shs'000	31 December 2009 (Restated) Shs'000
Ordinary share capital	515,270	515,270	200
Ordinary share premium	1,701,239	1,701,239	594,800
Revenue reserves	1,134,938	(45,955)	(598,937)
Other reserves	522,369	2,216,914	333,244
Equity attributable to equity holders	**3,873,816**	**4,387,468**	**329,307**
Non-controlling interest	**300,781**	**289,191**	-
Total equity	**4,174,597**	**4,676,659**	**329,307**
REPRESENTED BY:			
Assets			
Property and equipment	1,056,551	1,092,963	691,093
Intangible assets	119,966	167,050	153,628
Goodwill	1,254,995	1,254,995	1,084,649
Investment property	623,553	545,000	354,000
Investments in associates	355,400	313,180	-
Financial investments	14,510,876	15,084,710	9,329,227
Receivable arising from reinsurance	216,266	155,715	-
Receivable arising from direct insurance	740,559	544,816	-
Reinsurers' share of insurance liabilities	2,117,135	1,410,496	42,019
Deferred acqusition costs	137,510	169,941	29,178
Other receivables	300,121	170,737	2,682
Deferred income tax	57,548	16,095	-
Tax recovarable	103,447	71,429	-
Deposits with financial institutions	2,038,661	2,181,279	541,859
Cash and bank balances	660,945	648,923	112,586
Total assets	**24,293,533**	**23,827,329**	**12,340,921**
Liabilities			
Insurance contract liabilities	6,689,310	6,027,195	3,484,257
Deposit administration liabilities	9,237,856	8,703,273	6,160,510
Unearned premium reserve	2,242,031	1,853,053	264,426
Creditors arising from direct insurance	72,731	68,197	-
Creditors arising from reinsurance	475,480	279,284	20,674
Deferred acqusition costs	77,867	62,858	-
Other payables	715,969	1,210,210	1,581,747
Deferred income tax	-	73,391	-
Current income tax payable	32,980	33,364	-
Special dividend payable	-	231,034	-
Borrowings	504,621	500,000	500,000
Bank overdraft	70,091	108,811	-
Total liabilities	**20,118,936**	**19,150,670**	**12,011,614**
Net assets	**4,174,597**	**4,676,659**	**329,307**

Consolidated income statement

	31 December 2011 Shs'000	31 December 2010 Shs'000
Gross earned premium revenue	6,389,035	4,819,293
Less: Outward reinsurance	(2,151,102)	(1,287,384)
Net insurance premium revenue	**4,237,933**	**3,531,909**
	2,195,322	**1,842,744**
Commissions earned	513,025	217,184
Investment income	1,640,630	1,581,130
Administration fees	13,937	17,079
Other income	27,730	27,351
Total income	**6,433,255**	**5,374,653**
Claims and policyholder benefits payable	(3,379,417)	(2,804,362)
Change in insurance contract liabilities	(39,214)	(182,732)
Amounts recoverable from reinsurers	936,137	272,622
Net insurance benefits and claims	**(2,482,494)**	**(2,714,472)**
Total expenses and commissions	**(2,940,927)**	**(2,214,028)**
Commissions payable	(825,598)	(638,652)
Acquisition costs	(177,470)	(145,341)
Finance costs	(74,233)	(75,395)
Other operating expenses	(1,863,626)	(1,354,640)
Result of operating activities	**1,009,834**	**446,153**
Earnings from associates	2,381	36,782
Profit before taxation	**1,012,215**	**482,935**
Income tax expense	(61,797)	(222,921)
Profit for the year	**950,418**	**260,014**
Attributable to :		
Owners of the parent	919,334	225,741
Non-controlling interest	31,084	34,273
	950,418	**260,014**
Earnings per share basic and diluted(Shs)	**1.84**	**0.54**

Consolidated statement of comprehensive income

	31 December 2011 Shs'000	31 December 2010 Shs'000
Profit for the year	**950,418**	**260,014**
Other comprehensive income for the year	**(1,434,738)**	**1,655,715**
Exchange loss on translation of foreign operations	(38,782)	(32,348)
(Loss)/gain on fair valuation of available-for-sale financial assets	(1,508,151)	1,648,459
Impairment loss on equity securities charged through income statement	94,348	32,153
Gains on property revaluations	-	13,058
Share of associate's fair value reserve	17,847	(5,607)
Total comprehensive (loss)/income for the year (as previously reported)	**(484,320)**	**1,915,729**
Revaluation adjustment of available for sale investments	-	**(245,184)**
Total comprehensive (loss)/income for the year (as restated)	**(484,320)**	**1,670,545**
Total comprehensive income attributable to:		
Equity holders of parent	(513,652)	1,524,845
Non-controlling interest	29,332	145,700
Total comprehensive income for the year	**(484,320)**	**1,670,545**

Consolidated statement of cashflows

	31 December 2011 Shs '000	31 December 2010 Shs '000
Cash flow from operating activities	**(615,002)**	**196,519**
Interest received	1,228,388	754,503
Income tax paid	(197,803)	(260,484)
Net cash from operating activities	**415,583**	**690,538**
Cash flows used in investing activities	(260,332)	(819,470)
Cash flows from in financing activities	(248,776)	736,345
Currency translation differences	1,649	22,109
Net increase in cash and cash equivalents	**(91,876)**	**629,522**
Cash acquired on acquisition	-	1,437,424
Cash and cash equivalents at 1 January	2,721,391	654,445
Cash and cash equivalents at end of year	**2,629,515**	**2,721,391**

Consolidated statement of changes in equity

	Share capital Shs '000	Share premium Shs '000	Other reserves Shs '000	Revenue reserves Shs '000	Non-controlling interest Shs '000	Total Shs '000
At 1 January 2011 (As restated)	**515,270**	**1,701,239**	**2,216,914**	**(45,955)**	**289,191**	**4,676,659**
Net profit for the year	-	-	-	919,334	31,084	**950,418**
Other comprehensive income	-	-	(1,694,545)	261,559	(1,752)	**(1,434,738)**
Dividend paid to non-controlling interests	-	-	-	-	(17,742)	**(17,742)**
At 31 December 2011	**515,270**	**1,701,239**	**522,369**	**1,134,938**	**300,781**	**4,174,597**

Message from the Directors

The consolidated statement of financial position, consolidated income statement, consolidated statement of comprehensive income, consolidated statement of cash flows and consolidated statement of changes in equity are extracts from the financial statements of CfC Insurance Holdings Limited.

CfC Insurance Holdings Limited is the holding Company of the following operating entities: CfC Life Assurance Limited and The Heritage Insurance Company Kenya Limited. The December 2010 results include eight months of the Heritage Group and twelve months of CfC Life Assurance Limited, CfC Investments Limited and CfC Insurance Holdings Limited.

The consolidated profit after tax for the year was Shs 950 Million up from Shs 260 Million in 2010. The improved performance is mainly the result of operational strategies that have been implemented to deliver on the Group's business efficiency objectives. These results show strong resilience in a market that was characterized by a declining stock market, rising interest rates, and inflation that negatively affected the valuation of the Group's financial investments leading to reduction in the Group's comprehensive income.The financial statements have been adjusted to take account of corrections in the valuation of financial investments and actuarial liabilities in the prior years.

The above financial statements were approved by the Board of Directors on **28 March 2012** and signed on its behalf by:

J G Kiereini	M L du Toit	G R May	Caroline Kioni
Chairman	**Managing Director**	**Director**	**Company Secretary**